



# FUNERAL ASSURANCE REPORT

**FOR THE HALF-YEAR  
ENDED 30 JUNE 2021**



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This report relates to funeral assurance business written by funeral assurers only and does not relate to funeral assurance business written by life assurers. The funeral assurance business generated by life assurers is reported in the life assurance report.

Growth referred to in this report is nominal growth unless stated otherwise.

\* Income statement figures were adjusted using year-on-year inflation of 106.6 % reported for the month of June 2021. Source:

<https://www.rbz.co.zw/index.php/research/markets/inflation>

\*\*Balance sheet figures were not adjusted due to the unavailability of quarterly inflation figures. Therefore, balance sheet figures are compared on a nominal basis.

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## ABBREVIATIONS

|        |                                                                                 |
|--------|---------------------------------------------------------------------------------|
| GPW    | Gross Premium Written                                                           |
| IPEC   | Insurance and Pensions Commission                                               |
| MCR    | Minimum Capital Requirement                                                     |
| PA     | Prescribed Assets/Securities as defined by the Insurance Act<br>[Chapter 24:07] |
| S.I    | Statutory Instrument                                                            |
| TCF    | Treating Customers Fairly                                                       |
| ZICARP | Zimbabwe Integrated Capital and Risk Programme                                  |



## SECTION A: EXECUTIVE SUMMARY

### 1. Executive Summary

- 1.1. For the six months ended 30 June 2021, the number of registered and operating funeral assurers stood at eight (8).
- 1.2. The funeral assurance sector's inflation-adjusted Gross Premium Written (GPW) increased by 307.15% from ZW\$56.42 million reported for the six months ended 30 June 2020 to ZW\$229.72 million for the six months ended 30 June 2021.
- 1.3. As at 30 June 2021, five (5) of the eight (8) funeral assurers were compliant with the regulatory minimum capital requirement of ZW\$62.50 million, as prescribed in Statutory Instrument 59 of 2020.
- 1.4. The funeral assurance sector's total assets increased by 31.11% from ZW\$1.72 billion as at 31 March 2021 to ZW\$2.26 billion as at 30 June 2021.
- 1.5. As at 30 June 2021, all funeral assurers were not compliant with the minimum prescribed asset ratio with an average prescribed asset ratio of 0.09% against a required ratio of 10%, stipulated in Statutory Instrument 206 of 2019.
- 1.6. The total amount invested in prescribed assets was only ZW\$1.98 million against the required minimum amount of ZW\$225.74 million to comply with the minimum prescribed asset threshold of 10%.
- 1.7. Total technical liabilities for the funeral assurance sector increased by 354% from ZW\$247.80 million as at 31 March 2021 to ZW\$1.13 billion as at 30 June 2021, with future policyholder benefits being the major component constituting 99.86% of technical liabilities.
- 1.8. Profit before tax for the funeral assurance sector increased by 896.27% in nominal terms from ZW\$5.96 million for the half year ended 30 June 2020 to ZW\$59.34 million for the comparative period in 2021. In real terms, the profit before tax increased by 385.22% from ZW\$5.96 million to ZW\$28.72 million over the same period.
- 1.9. For the six months ended 30 June 2021, two players dominated the funeral assurance sector in terms of GPW, with a total market share of 79%. The remaining six (6) funeral assurers accounted for the 21% difference.
- 1.10. None of the funeral assurers had any reinsurance arrangement(s) in place for the six months to 30 June 2021.



## SECTION B: ABOUT THE COMMISSION

### 2. Introduction

- 2.1. The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions sector for the protection of policyholders and pension scheme members in Zimbabwe.
- 2.2. This report outlines the funeral assurance sector developments and IPEC's various activities in the funeral assurance sector consistent with its statutory mandate during the six months ended 30 June 2021.

### 3. Terms of Reference

- 3.1. The activities of the Commission are guided by the following Acts and their Regulations:
- 3.1.1. Insurance and Pensions Commission Act [Chapter 24:21];
  - 3.1.2. Pension and Provident Funds Act [Chapter 24:09];
  - 3.1.3. Insurance Act [Chapter 24:07];
  - 3.1.4. Money Laundering and Proceeds of Crime Act [Chapter 09:24];
  - 3.1.5. Finance Act [Chapter 23:04];
  - 3.1.6. Public Entities and Corporate Governance Act [Chapter 10:31];
  - 3.1.7. Public Finance Management Act [Chapter 22:19]; and
  - 3.1.8. Public Procurement and Disposal of Public Assets Act [Chapter 22:23]



## SECTION C: ECONOMIC DEVELOPMENTS

### 4 . ECONOMIC DEVELOPMENTS

**COVID-19 Updates** - Globally COVID-19 incidences remain very high, with the cumulative number of cases reaching in excess of 180 million and the number of deaths nearly 4 million as at 30 June 2021 (WHO, 2021). The battle to contain COVID-19 pandemic is still ongoing with vaccines continuously being administered to various population groups. According to the IMF (2021), as of the end of June 2021, about 3 billion doses had been administered worldwide, nearly 75 percent of those are in advanced economies and China. In low-income countries, less than 1% of the population had received one dose. This indicates that the rollout of vaccines is highly unequal and skewed more towards advanced economies. Procurement and logistical hurdles continue to cripple vaccination efforts at global level. This led to a slower pace of vaccination than anticipated.

As at 30 June 2021, Zimbabwe had 49 864 confirmed cases, 39 121 recoveries and 1 789 deaths. A total of 777 161 people has been vaccinated against COVID-19. The second quarter national recovery rate was 78%, 16 percentage points lower than the end of first quarter recovery rate of 94%.

#### 4.2 Covid-19 Impact on Businesses at Global and National Level

The COVID-19 pandemic has accelerated digital transformation across the board, with businesses adjusting operations to cope with lockdowns, restricted movement of staff and supply interruptions.

The pandemic continues to have a dampening effect on tourism-reliant economies and is further exacerbating domestic challenges in low-income countries. Covid-19 related controls continue to disrupt business operations due to reductions in operating hours, constrained investment, and disrupted schooling.

In Zimbabwe, total tourist arrivals declined by 90% to 65,882 recorded in the first quarter of 2021 compared to the 639,356 arrivals registered in the corresponding period in 2020. All the regions in the country suffered declines in the in average hotel occupancies ranging from 5% to 28%, with no region recording average room occupancies exceeding 25%. The Victoria Falls region, a prime tourist destination in the country, recorded the worst decline of -28% followed by Bulawayo region which had -19%. Thus, tourism sector players are operating below full capacity, and some have retrenched part of their workforce as a way of cutting operating costs.

The pandemic also impacted the real estate sector in which the insurance and pensions industry is significantly invested in, as remote working becomes the new normal. Working from home reduced the demand for office space in the real estate sector leading to low turnover based rentals for retail properties.

The Confederation of Zimbabwe Industries anticipates the manufacturing sector capacity utilisation to increase to 61% in 2021 from 47% in 2020, on the backdrop of increased COVID-19 vaccination drive amidst other factors such as exchange and price stability.

### **Regulatory responses to Covid-19**

Financial sector regulators including IPEC adapted to the new normal of doing business through the facilitation of remote working for staff, enhanced offsite monitoring, and conducting of virtual meetings and workshops. Regulators have been monitoring the implementation of business continuity plans and offering regulatory relief measures, allowing for flexibility on statutory deadlines to ensure that insurance companies and pension funds continue to offer uninterrupted service delivery in the face of Covid-19. Risk monitoring of supervised entities continues to be enhanced particularly on their solvency and liquidity conditions in light of the pandemic.

Regulators have also been advocating for enhanced consumer protection and support of policyholders or pension members adversely affected by the Covid-19 pandemic. Some of the support measures include an extension of premium payments grace periods to avoid policy lapses and allowing members experiencing financial hardships, to temporarily access part of their retirement savings to cushion them from the effects of the Covid-19 pandemic. Regulators have also been encouraging the regulated entities to strengthen their cybersecurity measures.

### **4.3 Global and Regional Growth Prospects**

The world economy is experiencing an exceptionally strong but uneven recovery. The IMF projects the global economy to grow by 6.0% in 2021 and 4.9% in 2022. The IMF projected growth rates are more optimistic when compared to those of World Bank of 5.6% in 2021 and 4.3% in 2022. The growth forecasts, however, could be undermined by inefficacy of Covid-19 vaccines being rolled out against the emerging variants, and delays in vaccinations.

The revised growth rates for advanced economies were forecast to reach 5.6% in 2021 and 4.4% in 2022 (IMF, 2021). The growth prospects are being driven by fiscal support and monetary accommodation in the United States and countries within the Euro area. However, vaccine hesitancy and global spill-overs may undermine



advanced economies GDP growth in 2021 and 2022 by about 0.75 percentage points.

The emerging markets and developing economies (EMDEs) growth is expected to reach 6.3% in 2021 and 5.2% in 2022 (IMF 2021). The improvement in external demand and higher commodity prices lift the overall aggregate activity in EMDEs. However, the rate of growth is low because of the resurgence of new COVID-19 cases, lagging vaccination, and partial withdrawal of macroeconomic policy support. Table 1 summarizes the global economic outlook projections.

**Table 1: World Economic Outlook Projections**

|                                                  | 2020  | 2021* | 2022* |
|--------------------------------------------------|-------|-------|-------|
| <b>World Output</b>                              | -3.3  | 6.0   | 4.9   |
| <b>Advanced Economies</b>                        | -4.7  | 5.6   | 4.4   |
| <b>USA</b>                                       | -3.5  | 7.0   | 4.9   |
| <b>Euro Area</b>                                 | -6.6  | 4.6   | 4.3   |
| <b>Emerging Markets and Developing countries</b> | -2.2  | 6.3   | 5.2   |
| <b>China</b>                                     | 2.3   | 8.1   | 5.7   |
| <b>Sub-Saharan Africa</b>                        | -1.9  | 3.4   | 4.1   |
| <b>Nigeria</b>                                   | -1.8  | 2.5   | 2.6   |
| <b>South Africa</b>                              | - 7.0 | 4.0   | 2.2   |
| <b>Zimbabwe</b>                                  | -4.1  | 7.8   | 5.4   |

Source: July 2021 World Economic Outlook Update, IMF. \* Projections

Economic activity in Sub-Saharan Africa is expected to expand by 3.4% in 2021 and 4.1% in 2022. Positive spill-over effects from strengthening global activity, improved international control of COVID-19, and strong domestic activity in agricultural commodity exports are expected to drive the growth. Nonetheless, the recovery is rather slow compared to the rest of the world in 2021 and is anticipated to remain fragile due to subdued capital inflows into the region and uncertainty concerning the course of the pandemic. Tourism based countries were the most affected due to subdued tourist inflows. For example, significant declines were experienced in international tourists' arrivals in countries such as Namibia (-87%), South Africa (-73%) and Zimbabwe (-90%) during the first quarter of 2021 compared to similar period in 2020 (*Zimbabwe Tourism Authority, 2021*).

#### **4.4 Domestic Economic Performance**

The Ministry of Finance and Economic development projects growth of 7.8% in 2021 and 5.4% in 2022. The forecast growth rates are underpinned by: -

- (i) Covid-19 recovery,
- (ii) firming international mineral prices,
- (iii) resumption of global economic activity,
- (iv) good agricultural season,
- (v) domestication of value chains, and
- (vi) enhanced revenue collection among others.

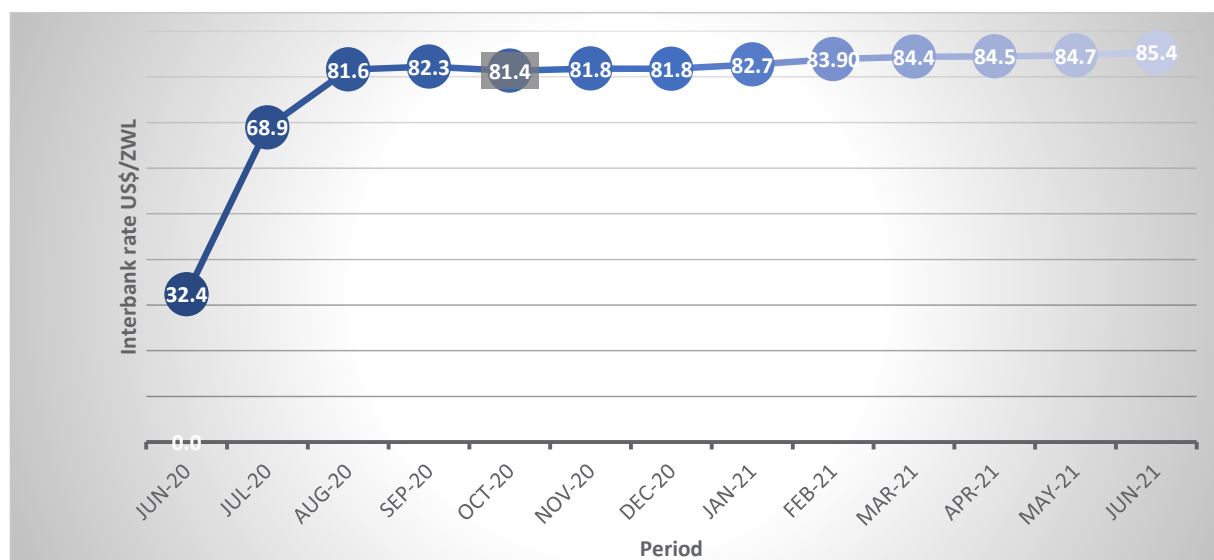
The 2021 growth projection is premised on the revised sectorial growth projections: agriculture, hunting and fishing and forestry (34.0%), mining and quarrying (2.0%), electricity (13.9%), manufacturing (7.0%), construction (7.7%), accommodation and food services (6.4%), transportation and storage (4.9%), finance and insurance (4.5%), and real estate activities (1.1%).

The International Monetary Fund projected a 6% growth rate for Zimbabwe in 2021. Thus, almost doubling its economic growth forecast for the country when compared to 3.1% projected in April 2021. The World Bank<sup>1</sup> projected lower economic growth rates for the country of 3.9% in 2021 and 5.1% in 2022.

#### 4.5 Exchange Rate Movements

The Zimbabwe dollar traded steadily against the US dollar during the second quarter. It depreciated marginally by 1.2%, from a rate of ZW\$84.4 per US\$1 on 1 April 2021 to ZW\$85.4 per US\$1 as at 30 June 2021. The monetary targeting framework has helped to contain money supply growth, which in turn has stabilised the exchange rate and eased inflationary pressures in the economy. The exchange rate stability enables the industry to make long term investment decisions, allows for the efficient allocation of resources, improves economic growth predictability, and ensures local currency value preservation. The interbank exchange rate movements during the period June 2020 to June 2021 are illustrated in Figure 1.

**Figure 1: Interbank Exchange Rate June 2020 to June 2021 (US\$/ZWL) – End of Period**



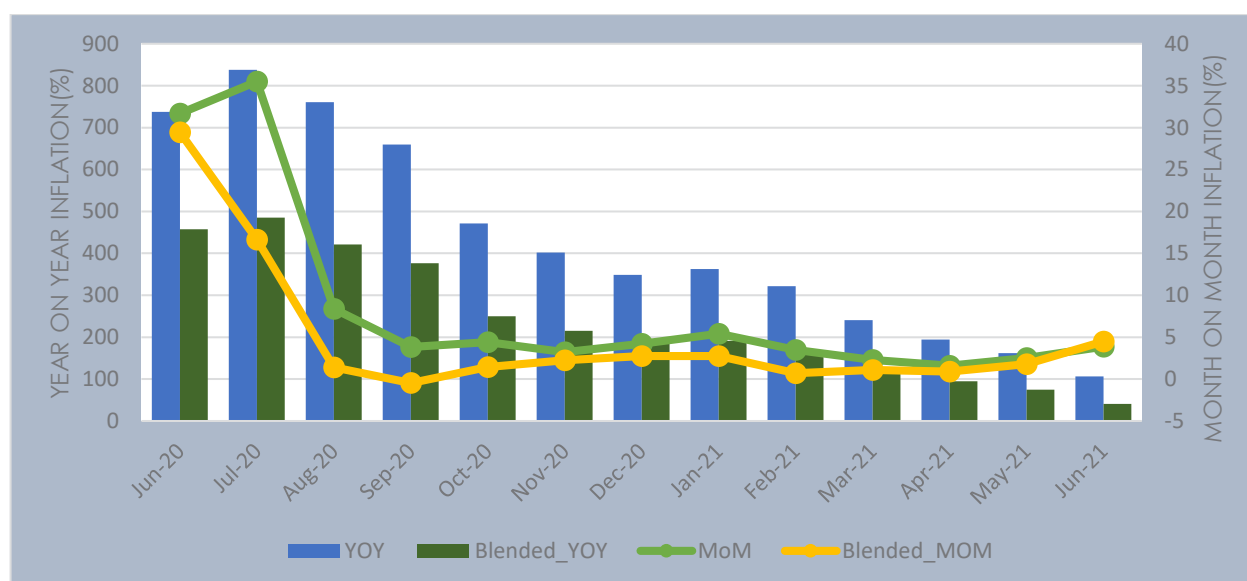
Source: Reserve Bank of Zimbabwe

## 5.6 Inflation Developments

The annual headline inflation stood at 106.6% in June 2021, down from 194.1% registered in April 2021, supported by a conservative monetary policy, prudent fiscal policy, and stable exchange rate. The annual blended inflation was also on the negative trend during the quarter under review, registering a rate of 40.9% in June 2021, which is 53.8 percentage points lower than the rate of April 2021 of 94.7%. The annual inflation is expected to decline to levels between 22% and 35% by December 2021 (*Ministry of Finance and Economic Development, 2021*).

The month-on-month inflation rate increased from 1.6% in April 2021 to 3.9% in June 2021 driven by the increase in food, non-food, and non-alcoholic beverages inflation. The month-on-month food and non-alcoholic beverages inflation rate stood at 3.21% in June 2021, gaining 2.26 percentage points on the May 2021 rate of 0.95% while the month-on-month non-food inflation rate stood at 4.38%, gaining 0.63 percentage points on the May 2021 rate of 3.75%. Figure 2 illustrates the inflation profile for the period of June 2020 to June 2021.

**Figure 2: Inflation profile (%), June 2020 - June 2021**



Source: Zimbabwe National Statistics Agency

The high levels of inflation have impacted on investment asset mix of regulated entities. Asset managers tend to reduce investments in fixed income instruments because they yield negative real returns. Thus, the regulated entities must be active in creating assets which meet prescribed asset requirements whilst offering good returns.

#### 4.7 Zimbabwe Stock Exchange Performance Highlights

The Zimbabwe Stock Exchange (ZSE), which is a major investment destination for insurance companies and pension funds exhibited a bullish trend as equities continued to benefit from inflation hedge attractiveness during the period under review. Currency depreciation and uncertainties posed by the pandemic on the economy continue to favour equities. Despite the current overvaluation on the ZSE, equities remain a better choice of investment for investors holding the local currency. The increase in liquidity also continues to drive gains on the market.

The second quarter of 2021 saw the equities market performing strongly, resulting in all major indices registering gains. The All Share and Top 10 indices registered increases of 39.8% and 22.2% to close at 6194.88 and 3154.44 points during the quarter respectively. The volume of shares traded increased by 63.89% to ZWL\$45.71 million in the second quarter of 2021. Table 2 shows the changes in the key stock market indicators.

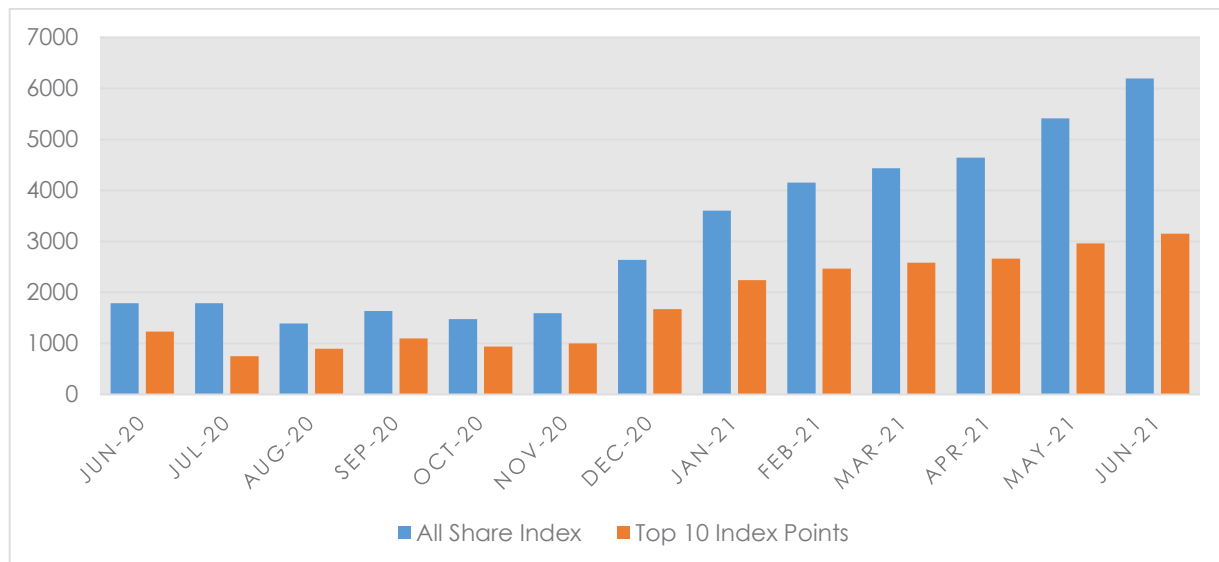
**Table 2: Changes in the key stock market indicators**

| ZSE Indicator                          | Mar-2021 | June-2021 | Change (%) |
|----------------------------------------|----------|-----------|------------|
| All share index (points)               | 4432.50  | 6194.88   | 39.8 ↑     |
| Top 10 Index (points)                  | 2580.33  | 3154.44   | 22.2 ↑     |
| Medium Cap Index (points)              | 10487.48 | 17293.13  | 64.9 ↑     |
| Small Cap Index (points)               | 47327.53 | 201439.50 | 325.6 ↑    |
| Mining Index (points)                  | 5532.09  | 6308.43   | 14.03 ↑    |
| Volume of shares traded (ZW\$ million) | 27.89    | 45.71     | 63.89 ↑    |
| Market turnover (ZW\$ million)         | 463.29   | 743.61    | 60.51 ↑    |

Source: Zimbabwe Stock Exchange (ZSE)

The All-Share Index and Top 10 Index registered gains during the quarter under review. Figure 3 illustrates the performance of these two indices between June 2020 and June 2021.

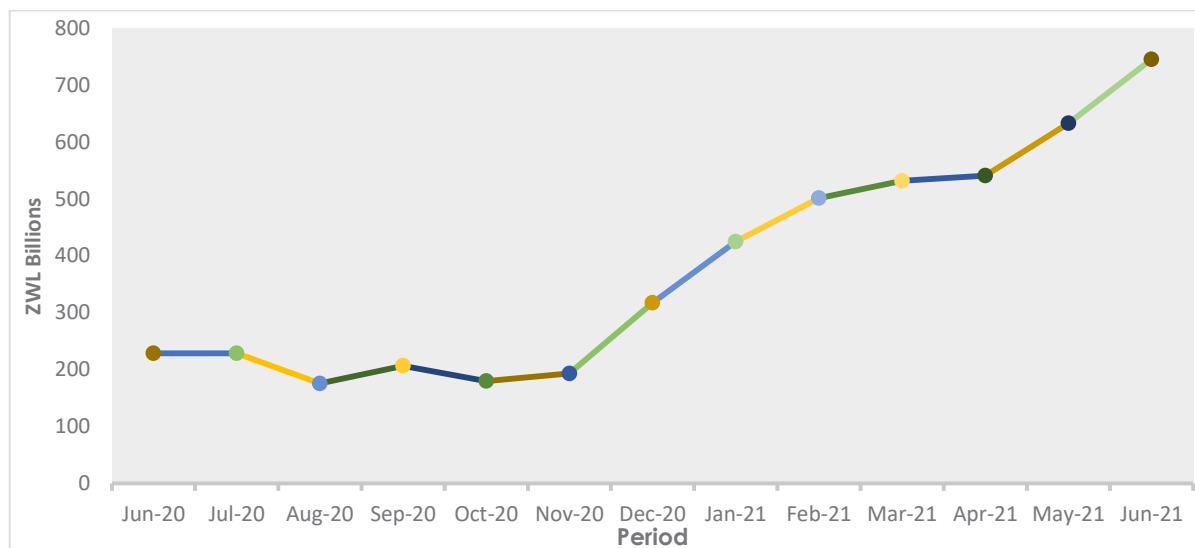
**Figure 3: All Share and Top 10 Indices Performance**



Source: Zimbabwe Stock Exchange

Market capitalization increased by 40.15% during the quarter under review. The increase in market capitalisation emanated from a rise in share prices. Figure 4 illustrates market capitalization developments for the period June 2020 to June 2021.

**Figure 4: Daily Market Capitalisation in ZWL Billions**



Source: Zimbabwe Stock Exchange

#### **Victoria Falls Stock Exchange (VFEX) Performance Highlights**

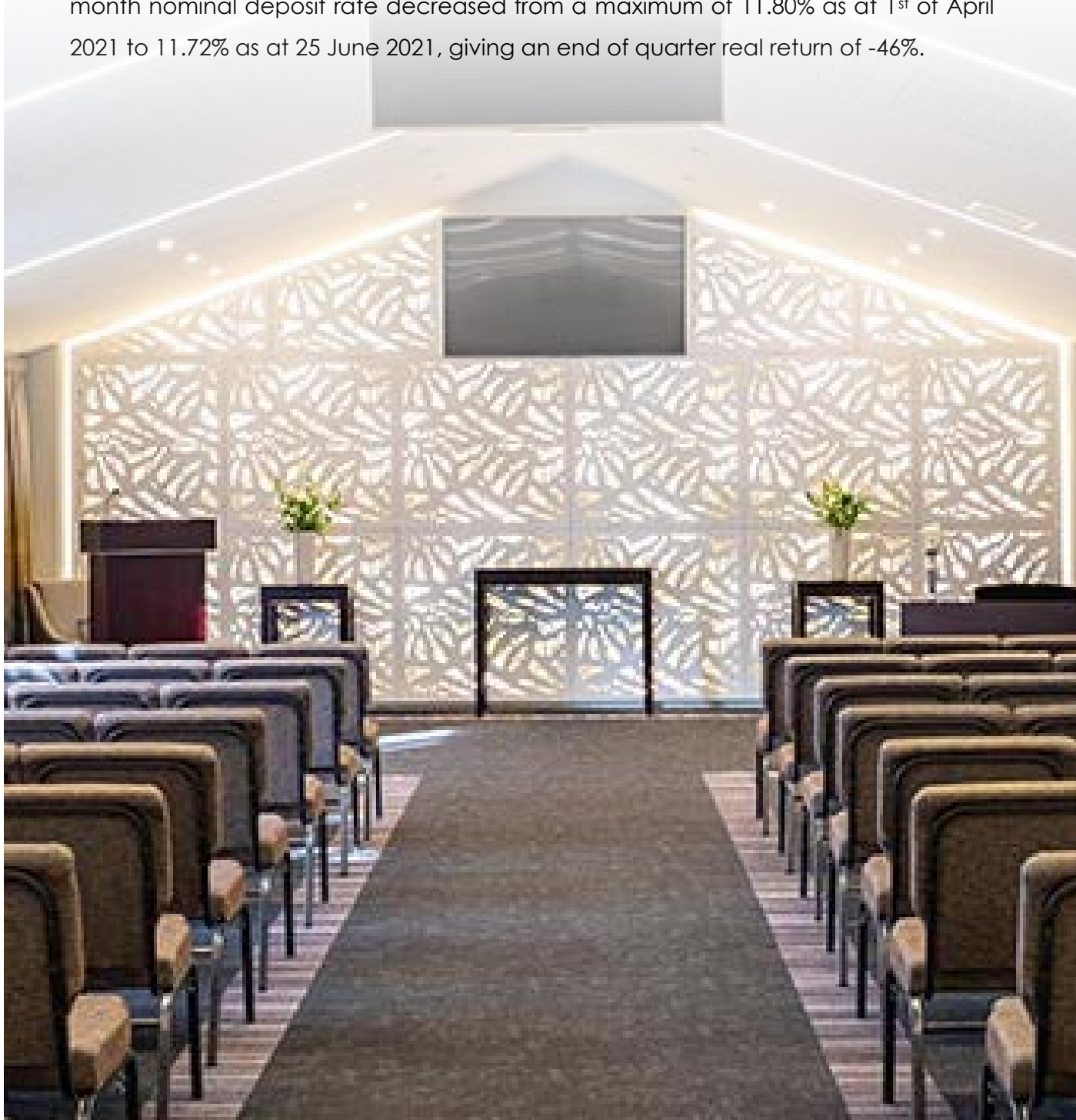
Seedco International was the only counter trading at the Victoria Falls Stock Exchange during the quarter under review. As at 30 June 2021, the counter registered US\$30,958.50 worth of trades, with a cumulative volume of trades of 119,982 shares. The total capitalisation stood at US\$ 61,047,642.10 and five trades were recorded during the quarter.



## 4.8. Money Market Developments

### Savings Deposit Rates

Whilst the annual inflation rate declined to 106.64% at 30 June 2021, nominal interest rates were below 15%. Resultantly, real returns were negative during the entire quarter under review, albeit at lower levels when compared to the previous quarter. The average nominal savings deposit rates increased from 4.04% as at 1<sup>st</sup> of April 2021 to 4.24% as at 25 June 2021, with an end of quarter real return of -50%. The one-month nominal deposit rate increased from a maximum of 10.83% as at 1 April 2021 to 10.72% as at 25 June 2021, translating to an end of quarter real return of -46%. The three-month nominal deposit rate decreased from a maximum of 11.80% as at 1<sup>st</sup> of April 2021 to 11.72% as at 25 June 2021, giving an end of quarter real return of -46%.



## SECTION D: PERFORMANCE OF FUNERAL ASSURANCE COMPANIES

### 5. Performance in terms of Business Written

- 5.1. The funeral assurance sector's inflation-adjusted GPW increased by 307.15 % from ZW\$56.42 million for the six months ended 30 June 2020 to ZW\$229.72 million for the six months ended 30 June 2021.
- 5.2. In nominal terms, new business accounted for a 558% increase in GPW from ZW\$1.48 million during the first half of 2020 to ZW\$9.76 million reported for the comparative period in 2021.
- 5.3. The increase in GPW was also on account of premium increases as funeral assurers sought to align both the premiums and policyholder benefits in response to the inflationary macroeconomic environment.
- 5.4. This is evidenced by the sharp increase in recurring business 746% from ZW\$54.94 million for the six months ended 30 June 2020 to ZW\$464.85 million as at 30 June 2021.
- 5.5. All the players recorded significant growth of above 100% in GPW, and none of them recorded negative growth.
- 5.6. The funeral assurance sector continues to face intense pressure and competition from life assurers writing funeral business. For the six months ended 30 June 2021, life assurers wrote inflation-adjusted funeral assurance business amounting to ZW\$2.39 billion, which was approximately 10 times more as compared to ZW\$229.72 million written by the dedicated funeral players.
- 5.7. A detailed breakdown of GPW per funeral assurer in terms of recurring and new business is shown in Appendix 4. A summary of the GPW per company is shown in Table 3 below.

**Table 3: Gross Premium Written Per Company (ZW\$000)**

| Name of Company | Jun-20           | Jun-21            | June Inflation Adjusted -21 | Change Inflation Adjusted - | Nominal Change (%) |
|-----------------|------------------|-------------------|-----------------------------|-----------------------------|--------------------|
| First Funeral   | 11,589.89        | 105,613.44        | 51,119.77                   | 341.07%                     | 811.25%            |
| Foundation      | 2,467.11         | 20,781.73         | 10,058.92                   | 307.72%                     | 742.35%            |
| Moonlight       | 33,743.39        | 271,492.96        | 131,409.95                  | 289.44%                     | 704.58%            |
| Orchid          | 94.32            | 933.60            | 451.89                      | 379.10%                     | 889.82%            |
| Passion         | 3,803.67         | 23,203.00         | 11,230.88                   | 195.26%                     | 510.02%            |
| Ruvimbo         | 1,427.33         | 12,207.72         | 5,908.87                    | 313.98%                     | 755.28%            |
| Sunset          | No submission    | 6,153.09          | 2,978.26                    | -                           | -                  |
| Vineyard        | 3,297.13         | 34,222.55         | 16,564.64                   | 402.40%                     | 937.95%            |
| <b>TOTAL</b>    | <b>56,422.84</b> | <b>474,608.09</b> | <b>229,723.18</b>           | <b>307.15%</b>              | <b>741.16%</b>     |

## 6. Capitalisation

- 6.1. As at 30 June 2021, five (5) out of the eight (8) funeral assurers were compliant with the regulatory minimum capital requirement of ZW\$62.50 million as prescribed by Statutory Instrument 59 of 2020.
- 6.2. The Commission is instituting a raft of measures to ensure compliance by the non-compliant entities.
- 6.3. The regulator continues to urge players who have submitted re-capitalisation plans to adhere to their compliance roadmaps.
- 6.4. As at 30 June 2021, the capital positions of funeral assurers ranged from ZW\$4.89 million to ZW\$182.52 million as shown in Table 4 below.

**Table 4: Capitalisation Trend Levels**

| Name of Company | June-21 (ZW\$000) | Mar-21 (ZW\$000)    | Dec-20 (ZWL\$000) | Sept-20 (ZWL\$000) | Jun-20 (ZWL\$000) | Mar-20 (ZWL\$000) |
|-----------------|-------------------|---------------------|-------------------|--------------------|-------------------|-------------------|
| First Funeral   | 158,429.61        | 157,277.77          | 155,996.11        | 71,839.40          | 51,157.52         | 19,294.66         |
| Foundation      | 102,307.11        | 74,966.11           | 54,498.69         | 54,176.80          | 75,978.70         | 58,132.99         |
| Moonlight       | 182,516.13        | 764,745.18          | 91,655.50         | 67,506.00          | 27,993.59         | 275,392.69        |
| Orchid          | 4,886.86          | 5,321.63            | 5,851.55          | 5,980.13           | 5,984.12          | 9,649.26          |
| Passion         | 17,118.51         | 6,487.44            | 6,154.08          | 3,755.80           | 3,687.27          | 2,539.83          |
| Ruvimbo         | 37,318.15         | 58,466.03           | 56,230.64         | 62,141.92          | 38,688.05         | 14,042.57         |
| Sunset          | 105,394.14        | 204,356.29          | 101,255.55        | 103,965.22         | Did not Submit    | 96,052.76         |
| Vineyard        | 64,248.83         | 58,181.55           | 56,566.74         | 53,171.59          | 57,716.10         | 30,065.73         |
| <b>Total</b>    | <b>672,219.34</b> | <b>1,329,801.99</b> | <b>528,208.85</b> | <b>422,536.86</b>  | <b>261,655.34</b> | <b>505,170.49</b> |

Key

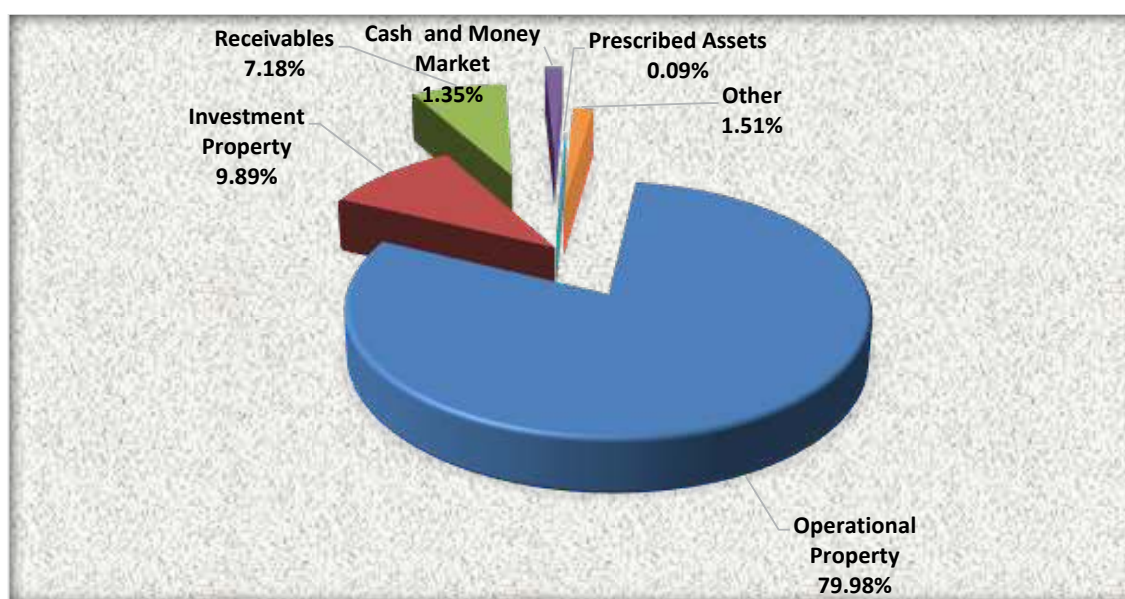
|  |                  |
|--|------------------|
|  | Undercapitalised |
|  | Capitalised      |



## 7. Asset Quality

- 7.1. The funeral assurance sector's total assets increased by 31.11% from ZW\$1.72 billion as at 31 March 2021 to ZW\$2.26 billion as at 30 June 2021.
- 7.2. The asset base for the funeral assurance sector remains highly concentrated in immovable property consisting of 80% of total assets.
- 7.3. This indicates a high concentration of investments in assets used for funeral service provision. This could explain the sector's resilience even in the face of increased Covid-19 related death claims.
- 7.4. The Commission continues to urge sector players to be cautious and hold assets that match their liability profiles in view of their policies that have cash benefit components.
- 7.5. Asset classes such as equities, cash, and money market investments were held in very small proportions relative to the overall asset portfolio.
- 7.6. The distribution of assets for the funeral assurance sector is shown in Figure 5 below.

**Figure 5: Breakdown of Assets**



- 7.7. As at 30 June 2021, all funeral assurers were not compliant with the minimum prescribed asset ratio of 10%, as stipulated by Statutory Instrument 206 of 2019. Prescribed asset investments were insignificant as they accounted for only 0.09% of the total asset portfolio.
- 7.8. The total amount invested in prescribed asset investments was ZW\$1.98 million against a minimum amount of ZW\$225.74 million for the sector to comply with the 10% minimum prescribed asset threshold.

- 7.9. The Commission continues to monitor funeral assurers' compliance roadmaps through monthly updates.
- 7.10. The Prescribed Asset Investments Working Group is finalising its recommendations on the prescribed asset framework that will take into consideration sector needs to ensure the preservation of value to both investor and policyholder funds.
- 7.11. Funeral assurers are called upon to come up with projects that can be accorded prescribed asset status as a way of improving their compliance.
- 7.12. Table 5 below shows the compliance levels with prescribed assets for each funeral assurer.

**Table 5: Prescribed Assets Levels as at 30 June 2021**

| Company name  | PA Investments  | Total assets        | PA ratio     | Amount required to be compliant | Variance compliance in |
|---------------|-----------------|---------------------|--------------|---------------------------------|------------------------|
| Orchid        | -               | 12,290.68           | 0.00%        | 1,229.07                        | 10.00%                 |
| First Funeral | 500.00          | 177,188.77          | 0.28%        | 17,718.88                       | 9.72%                  |
| Foundations   | 2.78            | 154,320.32          | 0.00%        | 15,432.03                       | 10.00%                 |
| Moonlight     | 1,008.08        | 1,612,019.33        | 0.06%        | 161,201.93                      | 9.94%                  |
| Passion       | -               | 23,756.17           | 0.00%        | 2,375.62                        | 10.00%                 |
| Ruvimbo       | 182.29          | 61,016.77           | 0.30%        | 6,101.68                        | 9.70%                  |
| Sunset        | -               | 110,194.67          | 0.00%        | 11,019.47                       | 10.00%                 |
| Vineyard      | 290.85          | 106,564.48          | 0.27%        | 10,656.45                       | 9.73%                  |
| <b>Total</b>  | <b>1,983.99</b> | <b>2,257,351.20</b> | <b>0.09%</b> | <b>225,735.12</b>               | <b>9.91%</b>           |





Table 6 below shows the key financial highlights for the funeral assurance sector as at 30 June 2021.

**Table 6: Key Performance Indicators**

| Key Performance Indicator                                  | Funeral Assurers |                  |             |                           |                           |
|------------------------------------------------------------|------------------|------------------|-------------|---------------------------|---------------------------|
|                                                            | Jun-20           | Jun-21           | Change      | Jun-21 Inflation Adjusted | Change Inflation Adjusted |
| Funeral assurers GPW (ZWS000)                              | 56,422.84        | 474,608.09       | 741%        | 229,723.18                | 307%                      |
| Total Gross Claims (ZWS000)                                | 16,744.39        | 98,041.29        | 486%        | 47,454.64                 | 183%                      |
| Operating, Administration and Management Expenses (ZWS000) | 34,045.30        | 273,639.08       | 704%        | 132,448.73                | 289%                      |
| Commissions (ZWS000)                                       | 4,107.93         | 36,405.93        | 786%        | 17,621.46                 | 329%                      |
| Total Costs (ZWS000)                                       | 54,897.62        | 408,086.30       | 643%        | 197,524.83                | 260%                      |
| Profit Before tax (ZWS000)                                 | <b>5,956.21</b>  | <b>59,340.07</b> | <b>896%</b> | <b>28,722.20</b>          | <b>382%</b>               |
| Ratio Analysis                                             | Jun-20           | Jun-21           | Change      |                           |                           |
| Expense Ratio                                              | 68%              | 65%              | -2%         |                           |                           |
| Claims Ratio                                               | 30%              | 21%              | -9%         |                           |                           |
| Combined Ratio                                             | 97%              | 86%              | -11%        |                           |                           |
|                                                            |                  |                  |             |                           |                           |
|                                                            | Mar-21           | Jun-21           | Change      |                           |                           |
| Total Assets (ZWS000)                                      | 1721732.618      | 2257351.205      | 31%         |                           |                           |
| Current Liabilities                                        | 135318.4109      | 427803.187       | 216%        |                           |                           |
| Capital - Net Assets (ZWS000)                              | 1328545.161      | 672219.3376      | -49%        |                           |                           |
| Capital to liability Ratio                                 | 338%             | 42%              | -295%       |                           |                           |
| Prescribed Assets (ZWS000)                                 | 1821.82302       | 1983.9934        | 9%          |                           |                           |
| Prescribed Asset Ratio (%)                                 | 0.11%            | 0.09%            | -0.02%      |                           |                           |





## **8. Reassurance**

- 8.1. The Commission is concerned that no funeral assurer had reassurance arrangements in place for the six months ended 30 June 2021, resulting in a reassurance ratio of 0%.
- 8.2. The Commission continues to emphasise the importance of reassurance arrangements for funeral assurers so that they effectively manage their risk exposures. Reassurance arrangements are also important because they increase the sector's capacity to write more business.
- 8.3. The need for reassurance is more apparent given the strain on the sector players balance sheets that is being caused by high claims experience because of the current Covid-19 pandemic.

## **9. Actuarial Matters**

- 9.1. Total technical liabilities for the funeral assurance sector increased by 354% from ZW\$247.80 million as at 31 March 2021 to ZW\$1.13 billion as at 30 June 2021. Future policyholder benefits continue to be the major component of technical liabilities accounting for 99.86%, whilst unearned premium reserve, gross outstanding claims and incurred but not reported claims accounted for an insignificant 0.14%.
- 9.2. Funeral assurers are continuously encouraged to exercise prudence in determining their reserves, to ensure that they are reflective of the various risks that they are exposed to.
- 9.3. In addition, players in the funeral assurance sector offer benefit policies whose cost moves in line with inflation; hence they should continuously review their reserves to align them with their liabilities.
- 9.4. It is the Commission's conviction that the development of mortality tables currently underway will improve reserving as well as pricing of funeral products by the sector.

## **10. Earnings**

- 10.1. For the period under review, seven (7) funeral assurers reported positive profits before interest and tax while one player reported losses.
- 10.2. The sector reported a nominal increase in profits before interest and tax, of 896% from ZW\$5.96 million for the six months ended 30 June 2020 to ZW\$59.34 million for the six months to 30 June 2021.
- 10.3. The increase in profit before interest and tax was on account of a notable increase in nominal GPW as players reviewed premiums to track inflation.
- 10.4. The Commission is concerned with the continued increase in administration expenses by the industry players. The sector's average expense ratio increased from 58.42% for the three months ended 31 March 2021 to 65% for the six months ended 30 June 2021. This implies that for every dollar of the premium received sixty-five cents was spent on management and operational expenses up from fifty-eight cents.

- 10.5. This ratio continues to be unsustainably high in the long run. All funeral assurers are reminded of the need to rationalize their operational and management expenses to sustainable levels.
- 10.6. The average claims ratio and combined ratio stood at 21% and 86% respectively.
- 10.7. A summary of the claims incurred, operating expenses and total costs for each funeral assurer for the six months to 30 June 2021, is shown in Appendix A5.

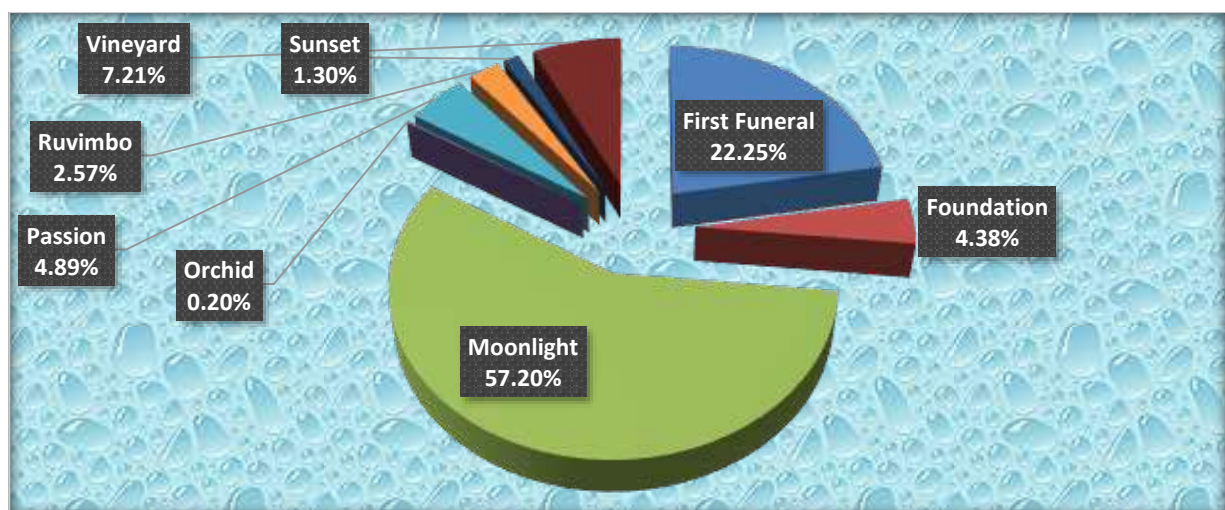
## 11. Liquidity

- 11.1. The funeral assurance sector reported an average current ratio of 189% indicating sufficient current assets to cover short-term contractual obligations and other current liabilities.
- 11.2. The Commission urges funeral assurers to practice liability-driven investing, to ensure that asset profiles in their investment portfolios match as much as possible their liability profiles in terms of maturity and timing.
- 11.3. Asset-liability mismatch may result in players holding either inadequate liquid assets to settle claims or too many liquid assets, thereby foregoing investment opportunities that may yield positive returns.
- 11.4. Funeral assurers are encouraged to hold adequate and appropriate short-term assets that can be easily liquidated to allow them to meet their statutory short-term debts, operational expenses and fulfil their claim obligations.

## 12. Market Share

- 12.1. For the six months ended 30 June 2021, two players dominated the funeral assurance sector in terms of GPW, with a total market share of 79%. The remaining six (6) funeral assurers accounted for the remainder of 21%.
- 12.2. The distribution of the market share in terms of GPW for the eight (8) funeral assurers is shown in Figure 6 below.

**Figure 6: Market Share in terms of GPW as at 30 June 2021**



## SECTION E: REGULATORY DEVELOPMENTS

### 13. Regulatory Developments for the Period Ending 30 June 2021 Circulars and Statutory Instruments

13.1. The Commission issued the following Statutory Instruments and Circulars to the insurance sector as shown in Table 7 below.

**Table 7: Statutory and Circulars issued**

| Circular/Statutory Instrument (SI) | Date Issued/ Gazetted | Purpose                                                                                                                |
|------------------------------------|-----------------------|------------------------------------------------------------------------------------------------------------------------|
| S.I. 85 of 2021                    | 26 March 2021         | Revision of fees payable to the Commission                                                                             |
| S.I. 86 of 2021                    | 26 March 2021         | Revision of levies payable to the Commission                                                                           |
| Circular 23 of 2021                | 30 June 2021          | ZICARP Framework.                                                                                                      |
| Circular 21 of 2021                | 11 June 2021          | Launch of ZICARP framework.                                                                                            |
| Circular 18 of 2021                | 31 May 2021           | Issuance of the revised guideline on adjusting insurance and pensions values in response to the 2019 currency reforms. |
| Circular 17 of 2021                | 07 May 2021           | Requests for inputs into the 2021 mid-term budget and economic review and the 2022 budget strategy paper.              |
| Circular 15 of 2021                | 27 April 2021         | Postponement of the launch of ZICARP.                                                                                  |
| Circular 14 of 2021                | 16 April 2021         | Request for information on externalised risks.                                                                         |
| Circular 13 of 2021                | 09 April 2021         | Sector feedback session on the implementation of the Guidance Paper.                                                   |
| Circular 12 of 2021                | 29 March 2021         | Notification of publication of IPEC Levy regulations.                                                                  |
| Circular 11 of 2021                | 09 March 2021         | ZICARP Programme – Own Risk and Solvency Assessment (ORSA).                                                            |
| Circular 10 of 2021                | 05 March 2021         | Deadline extension for the submission of 2020 Audited Financial Statements and Actuarial Valuation Reports.            |
| Circular 9 of 2021                 | 04 March 2021         | Submission of monthly management accounts by funeral assurers to the Commission                                        |
| Circular 8 of 2021                 | 24 February 2021      | Issuance of the Treating Customers Fairly Framework (TCF)                                                              |
| Circular 5 of 2021                 | 17 February 2021      | 2021 Global Money Week Commemorations                                                                                  |
| Circular 4 of 2021                 | 28 January 2021       | Request for currency reforms compensation framework proposals                                                          |
| Circular 3 of 2021                 | 19 January 2021       | Request for information on foreign currency denominated business                                                       |
| Circular 2 of 2021                 | 12 January 2021       | Delivery of electronic mail to IPEC                                                                                    |
| Circular 1 of 2021                 | 04 January 2021       | Provision of necessary services during the lockdown.                                                                   |

### **13.2. Capacitation of the Sector**

In line with the Commission's mandate of capacitating the sector, technical assistance was offered to individual entities on the e-filing of the quarterly returns. Workshops were also held with the sector on the launch and unpacking of the Zimbabwe Integrated Capital and Risk Programme (ZICARP) and the International Financial Reporting Standard (IFRS 17).

### **13.3. International Engagements**

The Commission actively participated in regional and international activities under the auspices of the International Association of Insurance Supervisors (IAIS), African Insurance Organisation (AIO), Organisation of Eastern and Southern Africa Insurers (OESAI) and the Committee of Insurance, Securities and Non-banking Financial Authorities (CISNA). These included participation in surveys, meetings, workshops, and training.



## SECTION F: COMPLAINTS HANDLING AND CONCLUSION

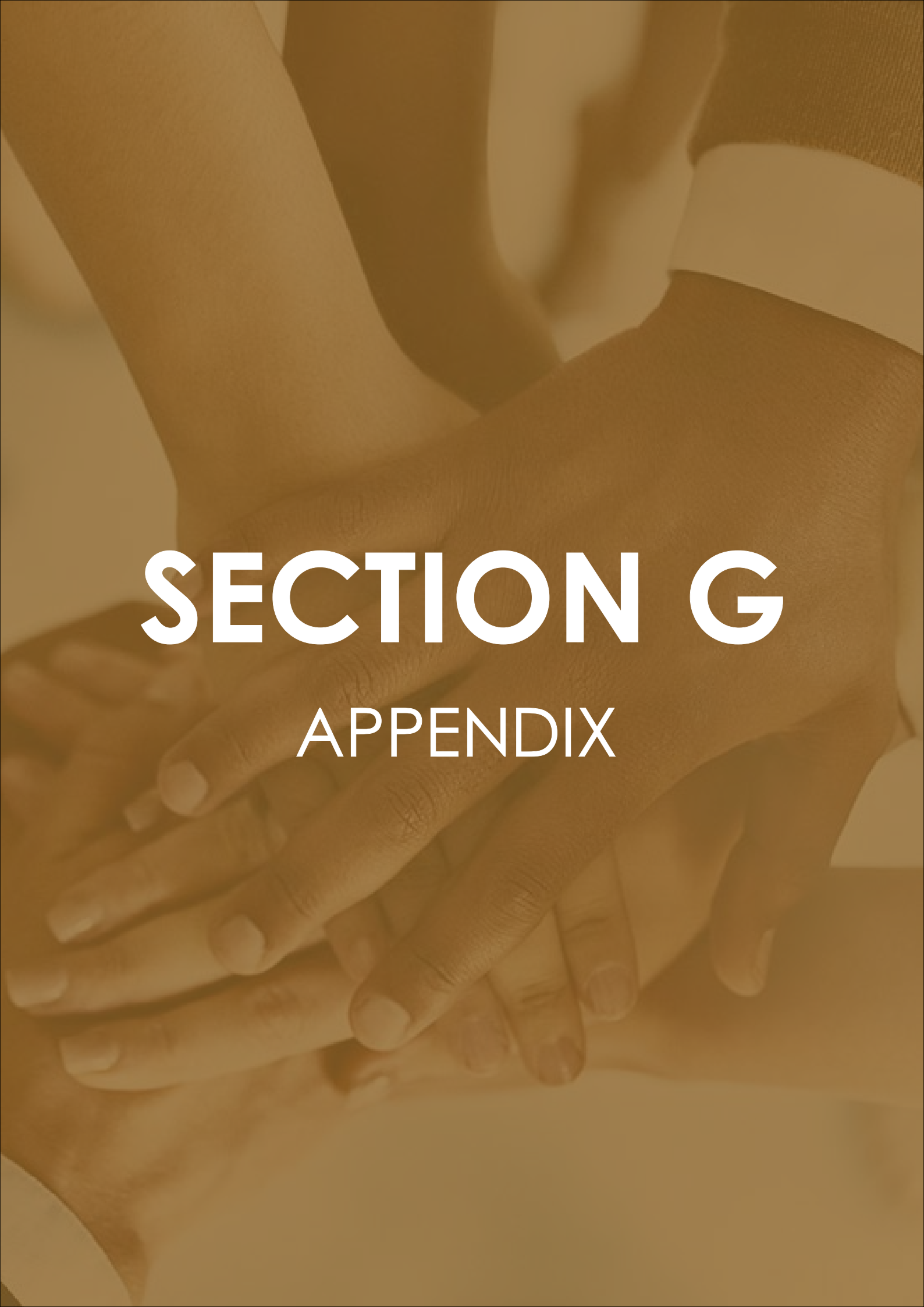
### 14. Funeral Assurance Sector Complaints

- 14.1. During the quarter under review, the Commission received two (2) funeral-related complaints, of which one had been resolved at the end of the quarter.
- 14.2. The two complaints related to rejection of a claim owing to policy lapse and non-payment of agreed benefits.
- 14.3. The Commission encourages funeral assurers to engage their clients regularly, especially when premiums are reviewed upwards so that policyholders have enough information to make informed decisions.
- 14.4. Funeral assurers are also reminded to pay agreed benefits in line with the terms and conditions of the policy.

### 15. Conclusion

- 15.1. The funeral assurance sector players should strive to comply with applicable laws and regulations particularly, on Minimum Capital Requirements and prescribed asset ratios.
- 15.2. Sector players should also strive to streamline their management and operational costs, which are high and unsustainable, a situation that renders the sector vulnerable to competition from other players that also write funeral assurance business.
- 15.3. The funeral sector should also take note of the increased competition from the life assurance sector, which requires the funeral assurers to have stronger balance sheets and realign their business models to compete effectively.
- 15.4. The players are also urged to have reinsurance arrangements in place as a risk management tool to manage loss experiences.





# SECTION G

## APPENDIX



**APPENDIX A1. KEY PERFORMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES**

|                                               | Orchid     | First Funeral | Foundation  | Moonlight | Passion   | Ruvimbo  | Sunset    | Vineyard   | Total/ Average |
|-----------------------------------------------|------------|---------------|-------------|-----------|-----------|----------|-----------|------------|----------------|
| <b>Key Performance Indicator</b>              |            |               |             |           |           |          |           |            |                |
| <b>Capital Adequacy</b>                       |            |               |             |           |           |          |           |            |                |
| Capital Position i.e Net Assets (ZW\$ 000)    | 4,886      | 158,429       | 102,307     | 182,516   | 17,118    | 37,317   | 105,394   | 64,248     | 672,214        |
| Capital Coverage Ratio (CCR)                  | 13.03%     | 422.48%       | 272.82%     | 486.71%   | 45.65%    | 99.51%   | 281.05%   | 171.33%    | 224.07%        |
| Equity/Total Assets Ratio                     | 39.76%     | 89.41%        | 66.30%      | 11.32%    | 72.06%    | 61.16%   | 95.64%    | 60.29%     | 29.78%         |
| Solvency Margin                               | 72.16%     | 948.52%       | 207.06%     | 17.47%    | 0.00%     | 3855.38% | 15451.92% | 1081.15%   | 59.73%         |
| <b>Asset Quality</b>                          |            |               |             |           |           |          |           |            |                |
| Total Assets (ZW\$ 000)                       | 12,291     | 177,189       | 154,320     | 1,612,019 | 23,756    | 61,017   | 110,195   | 106,564    | 2,257,351      |
| Investments to Total Assets                   | 24.41%     | 49.50%        | 8.91%       | 0.06%     | 5.49%     | 33.56%   | 83.84%    | 7.50%      | 10.08%         |
| Non-Interest Generating Assets/Total Assets   | 75.34%     | 47.92%        | 90.16%      | 99.47%    | 63.75%    | 65.45%   | 12.16%    | 89.89%     | 88.65%         |
| Fixed Assets/Total Assets                     | 73.29%     | 39.05%        | 85.96%      | 91.62%    | 0.01%     | 55.08%   | 5.91%     | 72.72%     | 79.98%         |
| Prescribed Assets Ratio                       | 0.00%      | 0.28%         | 0.00%       | 0.06%     | 0.00%     | 0.30%    | 0.00%     | 0.27%      | 0.09%          |
| Premium Debtors/Gross Premium                 | 15.54%     | 12.72%        | 5.62%       | 44.99%    | 0.59%     | 49.25%   | 100.00%   | 37.45%     | 34.13%         |
| Premium Debtors/Total Assets                  | 1.18%      | 7.58%         | 0.76%       | 7.58%     | 0.58%     | 9.85%    | 5.58%     | 12.03%     | 7.18%          |
| <b>Reinsurance</b>                            |            |               |             |           |           |          |           |            |                |
| Risk Retention Ratio                          | 100.00%    | 100.00%       | 100.00%     | 100.00%   | 100.00%   | 100.00%  | 100.00%   | 100.00%    | 100.00%        |
| <b>Actuarial</b>                              |            |               |             |           |           |          |           |            |                |
| UPR                                           | 67         | 0             | 0           | 0         | 0         | 968      | 0         | 0          | 1,035          |
| Gross Outstanding Claims                      | 0          | 300           | 0           | 251       | 0         | 0        | 0         | 0          | 551            |
| Future Policyholder Benefits (ZW\$000)        | 6705.11638 | 16402.872     | 49408.93092 | 1044720   | 0         | 0        | 682.07796 | 5942.61239 | 1123861.61     |
| Total Assets/Total Reserves                   | 181.50%    | 1060.83%      | 312.33%     | 154.26%   | 0.00%     | 6303.72% | 16155.73% | 1793.23%   | 200.57%        |
| <b>Earnings</b>                               |            |               |             |           |           |          |           |            |                |
| Profit After Tax (ZW\$000)                    | -433.48    | 2,433.50      | 2,261.53    | 25,045.32 | 14,356.45 | 3,460.97 | 3,365.01  | 8,222.10   | 58,711.39      |
| Return on Equity                              | -8.87%     | 1.54%         | 2.21%       | 13.72%    | 83.87%    | 9.27%    | 3.19%     | 12.80%     | 8.73%          |
| Return on Assets                              | -3.53%     | 1.37%         | 1.47%       | 1.55%     | 60.43%    | 5.67%    | 3.05%     | 7.72%      | 2.60%          |
| Loss(Claims) Ratio                            | 4.34%      | 36.33%        | 6.56%       | 17.54%    | 28.00%    | 10.85%   | 0.44%     | 18.22%     | 21.17%         |
| Net Commission Ratio                          | 6.80%      | 28.95%        | 5.42%       | 1.94%     | 0.00%     | 0.00%    | 1.85%     | 4.89%      | 7.86%          |
| Net Expense Ratio                             | 135.29%    | 30.94%        | 79.40%      | 74.01%    | 0.00%     | 52.69%   | 16.46%    | 43.30%     | 57.66%         |
| Combined Ratio                                | 146.43%    | 91.32%        | 91.38%      | 93.49%    | 28.00%    | 62.56%   | 18.75%    | 64.82%     | 85.98%         |
| <b>Liquidity</b>                              |            |               |             |           |           |          |           |            |                |
| Current ratio                                 | 19.25%     | 10.38%        | 32.89%      | 286.87%   | 29.59%    | 3.33%    | 36.46%    | 131.48%    | 189%           |
| Acid Test ratio                               |            |               |             |           |           |          |           |            |                |
| Liquid assets as a percentage of total assets | 24.66%     | 2.30%         | 0.93%       | 0.46%     | 30.68%    | 0.99%    | 4.00%     | 2.09%      | 1.35%          |
| <b>Market Shares</b>                          |            |               |             |           |           |          |           |            |                |
| Market Share Based on GPW                     | 0.20%      | 22.25%        | 4.38%       | 57.20%    | 4.89%     | 2.57%    | 1.30%     | 7.21%      | 100%           |
| Market Share Based on NPW                     | 0.20%      | 22.25%        | 4.38%       | 57.20%    | 4.89%     | 2.57%    | 1.30%     | 7.21%      | 100%           |
| Market Share Based on Total Assets            | 0.54%      | 7.85%         | 6.84%       | 71.41%    | 1.05%     | 2.70%    | 4.88%     | 4.72%      | 100%           |

**APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE HALF YEAR ENDED 30 JUNE 2021 (ZW\$000)**

|                                       | Orchid       | First Funeral  | Foundation    | Moonlight      |
|---------------------------------------|--------------|----------------|---------------|----------------|
| Gross Written Premiums                | 934          | 105,613        | 20,782        | 271,493        |
| Reinsurance Premiums                  | -            | -              | -             | -              |
| <b>Net Written Premiums</b>           | <b>934</b>   | <b>105,613</b> | <b>20,782</b> | <b>271,493</b> |
| Increase/(Decrease) in UPR            | -            | 7,924          | -             | -              |
| <b>Net Earned Premiums</b>            | <b>934</b>   | <b>97,690</b>  | <b>20,782</b> | <b>271,493</b> |
| Provision for Future Claims           | -            | -              | -             | -              |
| Outstanding claims                    | -            | -              | -             | 251            |
| Paid Claims                           | 41           | 35,492         | 1,363         | 47,360         |
| <b>Net Claims</b>                     | <b>41</b>    | <b>35,492</b>  | <b>1,363</b>  | <b>47,611</b>  |
| Net Commissions and Fees              | 63           | 28,283         | 1,127         | 5,262          |
| <b>Technical Result</b>               | <b>830</b>   | <b>33,914</b>  | <b>18,291</b> | <b>218,620</b> |
| Operating/Administration Expenses     | -            | -              | -             | 98,460         |
| <b>Underwriting Profit/(Loss)</b>     | <b>830</b>   | <b>33,914</b>  | <b>18,291</b> | <b>120,160</b> |
| Management expenses                   | 1,263        | 32,672         | 16,500        | 102,479        |
| Investment Income                     | -            | -              | -             | -              |
| Unrealised Gains/Losses               | -            | -              | -             | -              |
| Other expenses                        | -            | -              | -             | 3,983          |
| Other Income                          | -            | 1,210          | 551           | 11,382         |
| <b>Profit Before Interest and Tax</b> | <b>(433)</b> | <b>2,452</b>   | <b>2,343</b>  | <b>25,080</b>  |
| Taxation                              | -            | -              | 82            | -              |
| Interest Payments                     | -            | 19             | -             | 34             |
| <b>Profit After Tax and Interest</b>  | <b>(433)</b> | <b>2,433</b>   | <b>2,262</b>  | <b>25,045</b>  |
| Transfer to policyholders funds       |              |                | 2,043         |                |
| Dividends                             |              |                |               |                |
| <b>Retained Income</b>                | <b>(433)</b> | <b>2,433</b>   | <b>219</b>    | <b>25,045</b>  |

**APPENDIX A4 GROSS WRITTEN PREMIUMS BREAKDOWN AS AT 30 JUNE 2021**

| Name of Company      | Individual Life (ZW\$000) |                 |             |                    |                   |             | Corporate Business (ZW\$000) |               |             |                    |                  |             | Total Gross Premiums (ZW\$000) |                   |             |                            |                             |
|----------------------|---------------------------|-----------------|-------------|--------------------|-------------------|-------------|------------------------------|---------------|-------------|--------------------|------------------|-------------|--------------------------------|-------------------|-------------|----------------------------|-----------------------------|
|                      | New Business              |                 |             | Recurring Premiums |                   |             | New Business                 |               |             | Recurring Premiums |                  |             |                                |                   |             |                            |                             |
|                      | Jun-20                    | Jun-21          | Change (%)  | Jun-20             | Jun-21            | Change (%)  | Jun-20                       | Jun-21        | Change (%)  | Jun-20             | Jun-21           | Change (%)  | Jun-20                         | Jun-21            | Change (%)  | June-21 Inflation Adjusted | Change - Inflation Adjusted |
| <b>First Funeral</b> | 0.23                      | 117.90          | 50718%      | 4,290.28           | 43,297.38         | 909%        | -                            | -             | 0%          | 7,299.38           | 62,198.16        | 752%        | 11,589.89                      | 105,613.44        | 811%        | 51,119.77                  | 341.07%                     |
| <b>Foundation</b>    | 363.53                    | 233.20          | -36%        | 2,103.59           | 20,548.53         | 877%        | -                            | -             | 0%          | -                  | -                | 0%          | 2,467.11                       | 20,781.73         | 742%        | 10,058.92                  | 307.72%                     |
| <b>Moonlight</b>     | 584.03                    | 4,262.66        | 630%        | 33,159.36          | 267,230.30        | 706%        | -                            | -             | 0%          | -                  | -                | 0%          | 33,743.39                      | 271,492.96        | 705%        | 131,409.95                 | 289.44%                     |
| <b>Orchid</b>        | -                         | 24.90           | 0%          | 5.02               | 367.45            | 7221%       | -                            | -             | 0%          | 89.30              | 541.24           | 506%        | 94.32                          | 933.60            | 890%        | 451.89                     | 379.10%                     |
| <b>Passion</b>       | -                         | -               | 0%          | 994.27             | 6,960.90          | 600%        | -                            | -             | 0%          | 2,809.40           | 16,242.10        | 478%        | 3,803.67                       | 23,203.00         | 510%        | 11,230.88                  | 195.26%                     |
| <b>Ruvimbo</b>       | 428.20                    | 3,662.32        | 755%        | 999.13             | 8,545.41          | 755%        | -                            | -             | 0%          | -                  | -                | 0%          | 1,427.33                       | 12,207.72         | 755%        | 5,908.87                   | 313.98%                     |
| <b>Sunset</b>        |                           | 321.12          | 0%          |                    | 5,831.97          | 0%          |                              | -             | 0%          | -                  | -                | 0%          | -                              | 6,153.09          | 0%          | 2,978.26                   | 0.00%                       |
| <b>Vineyard</b>      | 8.43                      | 185.00          | 2095%       | 228.23             | 12,596.27         | 5419%       | 99.11                        | 950.00        | 859%        | 2,961.37           | 20,491.27        | 592%        | 3,297.13                       | 34,222.55         | 938%        | 16,564.64                  | 402.40%                     |
| <b>TOTAL</b>         | <b>1,384.42</b>           | <b>8,807.10</b> | <b>536%</b> | <b>41,779.87</b>   | <b>365,378.21</b> | <b>775%</b> | <b>99.11</b>                 | <b>950.00</b> | <b>859%</b> | <b>13,159.45</b>   | <b>99,472.78</b> | <b>656%</b> | <b>56,422.84</b>               | <b>474,608.09</b> | <b>741%</b> | <b>229,723.18</b>          | <b>307.15%</b>              |

| Co. Name      | NPW (000) |         |         | Claims (000) |        |         | Commissions(000) |        |         | Management Expenses (000) |         |         | Total Costs(000) |         |         | Combined Ratio |        |         |
|---------------|-----------|---------|---------|--------------|--------|---------|------------------|--------|---------|---------------------------|---------|---------|------------------|---------|---------|----------------|--------|---------|
|               | Jun-20    | Jun-21  | Change  | Jun-20       | Jun-21 | Change  | Jun-20           | Jun-21 | Change  | Jun-20                    | Jun-21  | Change  | Jun-20           | Jun-21  | Change  | Jun-20         | Jun-21 | Change  |
| First Funeral | 11,590    | 105,613 | 811%    | 4,157        | 35,492 | 754%    | 2,871            | 28,283 | 885%    | 3,401                     | 32,672  | 861%    | 10,430           | 96,447  | 825%    | 90%            | 91%    | 1%      |
| Foundation    | 2,467     | 20,782  | 742%    | 270          | 1,363  | 406%    | 143              | 1,127  | 689%    | 2,705                     | 16,500  | 510%    | 3,118            | 18,990  | 509%    | 126%           | 91%    | -35%    |
| Moonlight     | 33,743    | 271,493 | 705%    | 9,469        | 47,611 | 403%    | 853              | 5,262  | 517%    | 24,192                    | 200,939 | 731%    | 34,513           | 253,812 | 635%    | 102%           | 93%    | -9%     |
| Orchid        | 94        | 934     | 890%    | 14           | 41     | 182%    | -                | 63     | 0%      | 196                       | 1,263   | 543%    | 211              | 1,367   | 548%    | 224%           | 146%   | -77%    |
| Passion       | 3,804     | 23,203  | 510%    | 1,285        | 6,497  | 406%    | 8                | -      | -100%   | 962                       | -       | -100%   | 2,255            | 6,497   | 188%    | 59%            | 28%    | -31%    |
| Ruvimbo       | 1,427     | 12,208  | 755%    | 222          | 1,204  | 444%    | -                | -      | 0%      | 799                       | 6,433   | 705%    | 1,020            | 7,637   | 649%    | 71%            | 63%    | -9%     |
| Sunset        | 0         | 6,153   | #DIV/0! | -            | 27     | #DIV/0! | -                | 114    | #DIV/0! | -                         | 1,013   | #DIV/0! | -                | 1,154   | #DIV/0! | #DIV/0!        | 19%    | #DIV/0! |
| Vineyard      | 3,297     | 34,223  | 938%    | 1,328        | 5,806  | 337%    | 232              | 1,557  | 570%    | 1,791                     | 14,820  | 728%    | 3,351            | 22,183  | 562%    | 102%           | 65%    | -37%    |
| Total         | 56,423    | 474,608 | 741%    | 16,744       | 98,041 | 486%    | 4,108            | 36,406 | 786%    | 34,045                    | 273,639 | 704%    | 54,898           | 408,086 | 643%    | 97.30%         | 85.98% | -11%    |

